NOTE 14 - INCOME TAXES

The provision for income tax benefit consists of the following:

For the years ended June 30,	2021	2020
Federal		
Current tax benefit	$ -	$ 15,000
Deferred tax benefit	1,606,000	1,349,000
	1,606,000	1,364,000
State		
Current tax benefit (expense)	65,000	(1,000)
Deferred tax benefit	475,000	571,000
	540,000	570,000
Total income tax benefit	$ 2,146,000	$ 1,934,000

A reconciliation of the statutory federal income tax rate to the effective tax rate is as follows:

For the years ended June 30,	2021	2020
Statutory federal tax rate	21.0%	21.0%
State income taxes, net of federal tax benefit	5.8%	9.2%
Disallowed interest	2.9%	10.3%
Valuation allowance	-4.3%	-
Other	3.6%	-1.0%
	29.0%	39.6%

The components of the Company's deferred tax assets and (liabilities) as of June 30, 2021 and 2020, are as follows:

	2021	2020
Deferred tax assets		
Net operating loss carryforward	$ 9,802,000	$ 6,238,000
Investment reserve	671,000	674,000
Interest expense	2,684,000	1,466,000
Other	1,423,000	1,755,000
	14,580,000	10,133,000
Deferred tax liabilities		
Basis difference in Justice	(5,092,000)	(3,295,000)
State taxes	(482,000)	(368,000)
Valuation allowance	(951,000)	(496,000)
	(6,525,000)	(4,159,000)
Net deferred tax assets	$ 8,055,000	$ 5,974,000

As of June 30, 2021, the Company had net operating loss carryforwards of approximately $31,495,000 and $36,050,000 for federal and purposes, respectively. These carryforwards expire in varying amount through 2039. Due to the California's suspension of net operating losses, approximately $15.1M of the state net operating losses cannot be utilized in taxable years 2020, 2021 and 2022 if the company's taxable income in each of those years is $1M or more.

Assets and liabilities are established for uncertain tax positions taken or positions expected to be taken in income tax returns when such positions are judged to not meet the "more-likely-than-not" threshold based on the technical merits of the positions. As of June 30, 2021, it has been determined that there are no uncertain tax positions likely to impact the Company.

The Company files tax returns as prescribed by the tax laws of the jurisdictions in which it operates and is subject to examination by federal, state and local jurisdictions, where applicable.

As of June 30, 2021, tax years beginning in fiscal years 2016 and 2017 remain open to examination by the major tax jurisdictions and are subject to the statute of limitations.